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Driving Using Only the Rearview Mirror:

Why historical returns and benchmarks are insufficient when assessing manager performance.

Understanding investment manager evaluation

In meeting their fiduciary duties, Investment Committees and boards periodically review their investment manager's

performance. Most insurers, being conservative investors with a long investment time horizon, typically view the manager's "nominal" performance vs the benchmark on a quarterly, 1, 3 and 5

year basis. This can be annual or rolling period performance.

Often the incumbent investment manager is consistently beating his bench-

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Economic Review

Time for the Federal Reserve to "Get Real"

We have concluded that the Federal Reserve (the "Fed") leaders have sounded like political candidates of late, flipflopping on the issue of the timing and extent of interest rate increases for 2016. While the Fed's thought process has certainly become more transparent under Bernanke and Yellen, this improved communication and visibility has also exposed the Fed's struggle to accurately forecast economic growth and to communicate a consistent and credible plan for normalizing monetary policy.

What's driving the Federal Reserve's projections?

Markets were not surprised when the Fed finally took action and increased the

Fed Funds Rate by a quarter percent in December. The Fed signaled such a move for the past 18 months. However, they also guided toward four additional rate increases for 2016 in their dot plot projections at the same meeting. The aggressively hawkish stance caused a sell-off of all risk markets, including Investment Grade and High Yield spreads, in late 2015 and early 2016. The "risk-off" trade lasted until the March Fed meeting, when the Fed delayed an expected rate increase and signaled a reduction in the number of 2016 increases from four to two. Why? They appropriately cited capital market volatility and a slowdown in global economic growth. In a March 29 speech to the Economic Club of New York, Fed Chairman Janet Yellen intimated that rates would likely need to be lower for longer. Perhaps

we will now see only one 2016 rate increase instead of the two signaled just a month earlier, especially since the Atlanta Fed's GDPNow estimate of 1Q16 GDP growth has declined to 0.4%? While the effort to improve communication and transparency is welcome, we believe the Fed's overly optimistic forecasts have served to increase market volatility in recent years. In our opinion, the Fed has consistently overestimated the strength of economic growth and underestimated the time to monetary policy normalization. We believe it is time for the Fed to "get real" and admit that the end of the debt super-cycle has led to an extended period of lower economic growth. The chart on page 2 de-



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“The Federal Reserve’s attempt to spur economic growth has had the same effect as pushing on a string. Years of Washington gridlock and shortsighted fiscal policies cannot be neutralized or overcome by the Fed’s monetary policy alone.”

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tails the convergence of various economic performance metrics over the past 10 years. We believe this chart helps tell the story of an economy stuck in a slow growth mode for the foreseeable future.

What is causing persistent lower growth?

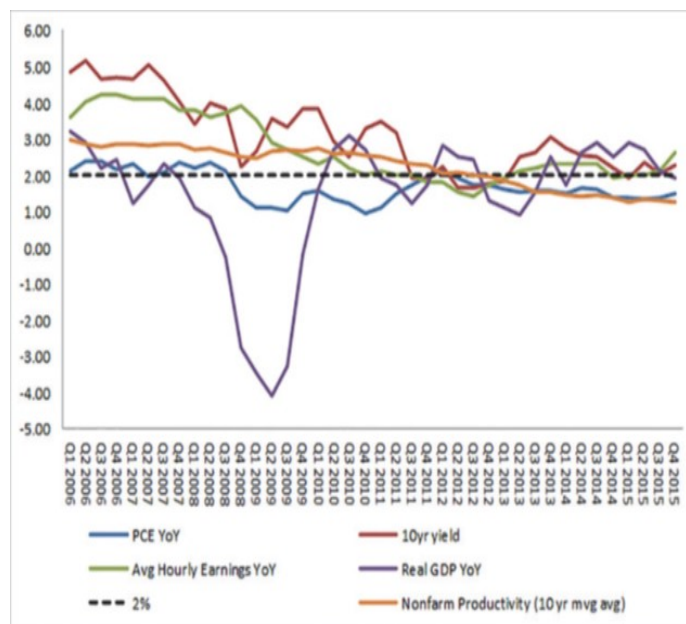
We believe part of the answer to this question lies in lower wages and lower productivity growth. Stagnant wages are both a cause and consequence of low productivity. Labor productivity growth has been on the decline globally and domestically for the past 15 years. When productivity growth is on the rise, employers can provide higher wages to employees resulting in a higher standard of living as more value is produced per worker. Productivity driven wage increases do not result in

inflation because firms do not have to raise prices to offset the cost of additional production. Why has productivity growth stagnated? A recent study by the Bank of International Settlements (BIS) suggests that the domestic employee base is not mobile enough to relocate to where the jobs are, nor are they being properly prepared for the jobs available. Why are these prospective employees immobile? Government programs designed to assist them actually chain them to their current residences, cities and states. These programs encourage people to buy homes (making them less mobile), reside where benefits are available (not where the employment opportunities are better) and locate in states that provide more generous benefits. Furthermore, falling wages and lower labor

force participation can be the cause of lower productivity, as firms opt not to invest in productivity enhancing technologies when excess labor is available on the cheap. The Federal Reserve’s attempt to spur economic growth has had the same effect as pushing on a string. Years of Washington gridlock and shortsighted fiscal policies cannot be neutralized or overcome by the Fed’s monetary policy alone, as opposed to a problem, through a reduction in unnecessary regulation, an increase in the earned income tax credit, refinements to the Affordable Care Act and meaningful job training programs. In seven months, as we elect new political leaders, things may change...or may not.

The Fed’s changing focus

One additional comment on the Fed before we close. Below is a Deutsche Bank graph depicting the number of times Janet Yellen used the words “China”, “Dollar” or “Global” in her last four outlook speeches. The global economy has become an increasing concern to the Fed, particularly in the last three months. Historically, the US economy has been characterized by the Fed as relatively insulated with global economies having limited



Source: Bloomberg

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or “transitory” impact on the US economic outlook. The transformation of the Chinese economy from a manufacturing to a service-oriented economy has begun and the ripple effect of these changes are being felt in emerging markets and also in Europe. These ripples are increasingly becoming a concern to the Fed and may lead them to be a bit more dovish than they prefer. We believe the Fed would rather risk overheating the US economy by keeping rates lower longer versus driving up the value of the dollar and experiencing a corresponding detrimental decline in exports and an even flatter yield curve with rate increases.

A publication we found insightful: From BIS Quarterly Review 2016: Wealth inequality and monetary policy: “This feature explores the recent evolution of household

wealth inequality in advanced economies by looking at valuation effects on household assets and liabilities. Using household survey data, we analyze the possible drivers of wealth inequality and the potential effect of monetary policy through its impact on interest rates and asset prices. Our simulation suggests that wealth inequality has risen since the Great Financial Crisis. While low interest rates and rising bond prices have had a negligible impact on wealth inequality, rising equity prices have been a key driver of inequality. A recovery in house prices has only partly offset this effect. Abstracting from general equilibrium effects on savings, borrowing and human wealth, this suggests that monetary

policy may have added to inequality to the extent that it has boosted equity prices.” https://www.bis.org/publ/qtrpdf/r_qt1603f.pdf

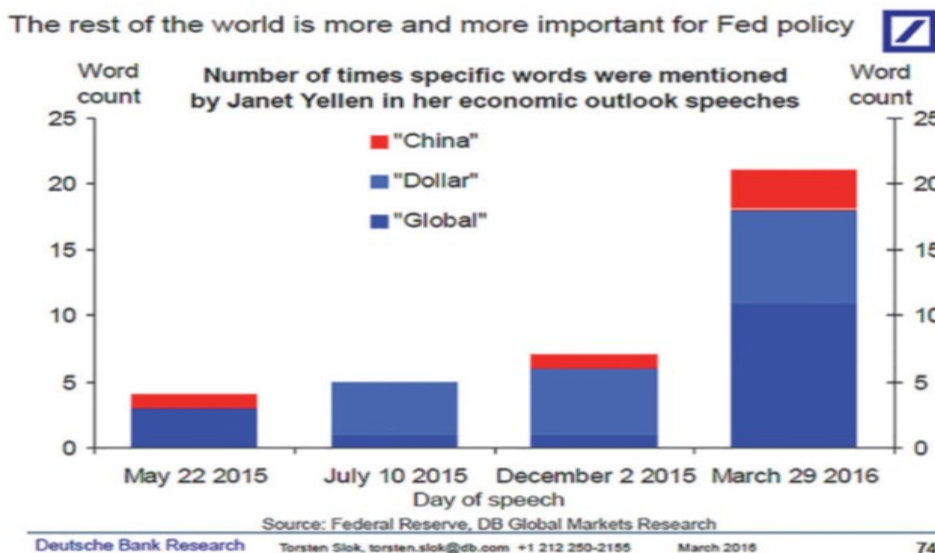
Capital Markets and Performance

Market volatility was robust in the first quarter of 2016. As mentioned above, the quarter began with market uncertainty about Fed policy and projected rate increases, as well as uncertainty about slowing global growth, and lower oil and other commodity prices. All of these market worries created a “risk-off” trade and thus Treasury securities were the best performers in January and February. However, March witnessed a dramatic reversal as uncertainty and worry gave way to greed. The Fed reduced their rate

hike projection to two instead of four, oil prices rebounded to \$40, and global growth maintained projections. Subsequently, the market sentiment pendulum swung back to risk-taking. Corporate securities, both investment grade and high yield, overtook Treasury securities as the best performers for the quarter.

For the first quarter, the Barclays Capital U.S. Aggregate Index returned a healthy 3.03%. The bellwether 10-year Treasury yield declined 50 basis points in the quarter to close with a yield of 1.77%. Overall, Treasuries returned 3.20% in the quarter but, corporate securities were the best performers with an impressive 3.97% return. Longer maturities performed better than shorter maturities and lower quality securities outpaced higher quality. The BofA/Merrill Lynch High Yield Master II Index increased 3.25% in the quarter.

Our composites had positive performance versus their respective benchmarks in the quarter given the extreme market volatility. As we have mentioned in our past quarterly commentaries, we have structured all of the accounts with an overweight to the corporate sector. This corporate overweight obviously helped our performance and we believe the best



“A prudent board will be more thorough in their analysis by incorporating the use of risk-adjusted returns to determine the efficacy of their manager.”



“...US Bonds, and its predictive powers told a different story. Long-term interest rates, after falling along with stocks earlier in the year, did not rise to match the equity rally.”

First Quarter 2016: What a ride

They say the markets are forward-looking, ignoring the past, discounting what will happen in the near term and pricing in expectations a bit further into the future. Efficient market theory assumes that all available information get priced into the markets quickly and efficiently. Behavioral economics disagree. Perhaps the answer lies somewhere in the middle with markets providing weak predictions of the future.

However, some markets are better at this than others.

The first quarter 2016 provided a wild ride for investors. Insurers were reminded of the risks inherent in the US stock market which began the year with its worst-ever start, dating back to 1879. Negative press was prevalent with calls for the end of the long

but somewhat lethargic bull market and predictions of economic recession. Then the market rallied hard, slid and then rallied again ending the quarter above its starting points for both the DOW and the S&P 500.

Lot of money sloshed around; equities, cash, gold, and bonds as many panicked and repositioned portfolios. As previously stated, it was a wild ride, but what exactly did it tell us?

During all this volatility bears claimed that the sideways market over the last year and a half was an indication of a fatigued bull coming to its overdue end. Talking heads identified the definitive pattern of declining S&P 500 earnings per share despite massive corporate buybacks as a strong warning sign of bad times ahead. Even the

long term outlook was bleak. To them, the markets looked even more expensive on a valuation basis, particularly on a cyclically adjusted price-to-earnings (CAPE) ratio. The CAPE stood at 24.6 on 3/31 with a predictive of a forward looking 10 year return averaging 4.4%. Not very impressive.

Bulls saw the first quarter's performance as a breather in the slow but steady stock market progress since the great recession, pointing out that stocks still looked attractive against Treasuries.

The stock market has rallied hard off of its recent lows, and continuing to rise through quarter-end, fears of recession and impending bear market appeared overblown. Perhaps investors had overreacted, again.



Source: Morningstar

First Quarter 2016: What a ride

However, the other market, US Bonds, and its predictive powers told a different story. Long-term interest rates, after falling along with stocks earlier in the year, did not rise to match the equity rally. In fact, they reversed right back to their lows indicating that the Bond market continued to show concern over low growth and inflation.

There are probably three main causes for the confusing scenario facing investors and the money managers.

- **The Fed:** Initially the Fed projected several slow but steady rate increases throughout 2016. With the market's rocky start, Janet Yellen turned dovish with comments in late March and early April. After lots of conflicting economic data, but a return to rising stock markets, focus has

shifted back to 'fear of the Fed' with markets considering a June hike to be likely. Bottom line: an unpredictable Fed meddling with market forces causes distortions and chaos.

- **China:** With the huge global implications of the world's second-largest economy, fear levels were extremely high in early 2016. However, with the arrival of some not-as-bad-as-feared economic data, anxiety levels fell. More recently alarm bells are again sounding over concerns that a credit bubble could be masking a deeper problem with China's economy. Prominent investors have likened the scenario to the US economy in 2007. Bottom line: China's problems can become every-

one's problems to an extent large that many will admit.

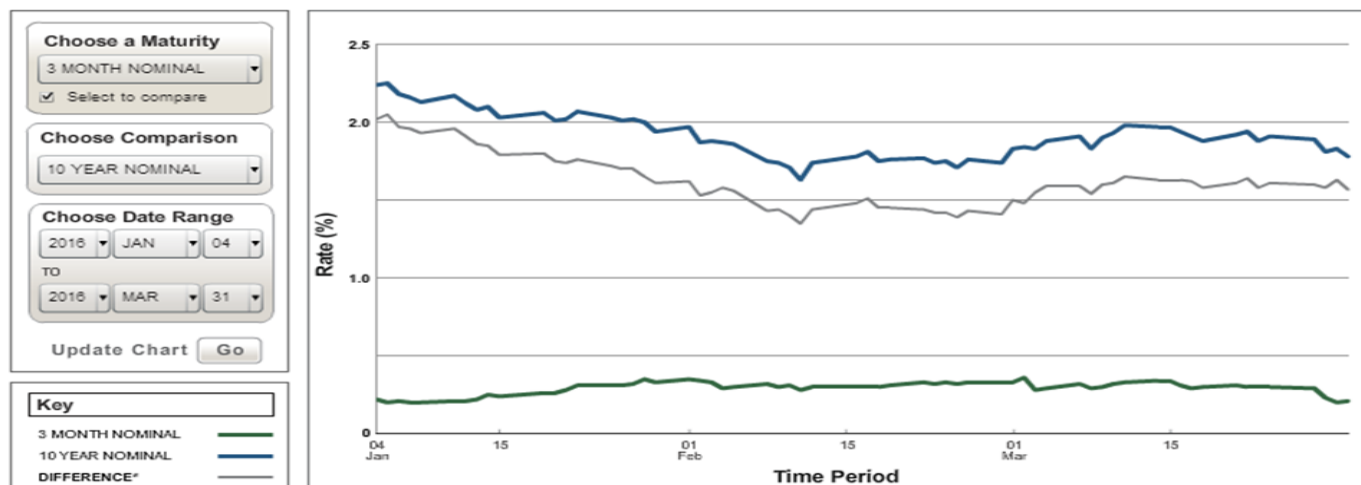
- **US dollar:** So strong going into 2016 before it suffered its worst quarter since 2010! Then, another reversal with strengthening later in the quarter. Bottom line: The politics of negative interest rates and a rush to the bottom (devaluation) for many currencies as a solution of economic woes has an overall destabilizing effect.

These three factors and their associated volatilities seem to have an oversized influence on the US markets notwithstanding the debates over the US economy's strength and the strength or weaknesses of stock and bonds market fundamentals. Since all of

these variables make for confusing expectations and a clouded outlook, more volatility is likely. Barring any major movements, well diversified portfolios should continue to outperform over any more short, but rather vio-



Historical Treasury Rates



Source: US Department of Treasury

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mark. Generally this is taken as a sign that the manager is doing a good job and needs no further investigation. We take pause when asked if this conclusion is fair and if this represents good policy since; 1) it is often the investment manager who picks the benchmark and 2) looking at “Nominal” return is not a terribly good indication of the manager’s skill. Why one might ask? Simply because it is only a view of reward, the return, and ignores the risk. For example, a manager outperforming the benchmark may be taking significantly more risk than the benchmark. A “Risk-Adjusted” return analysis might indicate that a manager outperforming the benchmark by 50 basis points should have outperformed by 150 basis points given the level of risk he assumed with the client’s portfolio. Now how happy is the client?

It is also important for the board to know how good of a fit the benchmark is to the actual investment strategy pursued by the manager. A closer analysis might find that a bond manager is taking more duration or credit risk than the benchmark, making another benchmark a better fit for comparison. Occasionally we even see asset classes used by the manager that are not used or allowed in the index selected. These

	ROR	Std.Dev	Bat Avg	Dwn Cap.	Up Cap.
Manager A	4.41%	5.42%	73.33%	94.83%	106.84%

- Rate of return: The gains on an investment over a given time period
- Standard deviation: A measure of volatility of portfolio returns
- Batting average: The percentage of time that a manager beats his index
- Downside Capture Ratio: A measure of a manager’s performance in a down market
- Upside Capture Ratio: A measure of a manager’s performance in an up market

Figure 1

Data: provided by investment management firms directly to PSN Enterprise
Analysis: provided by CapVisor Associates

factors might provide an unfair advantage to the manager, enabling them to beat the benchmark consistently without any evidence of using “skill” to do so.

The statistics available to us through Modern Portfolio Theory (MPT) overcome some of the challenges that a board may face when evaluating a manager. Terms like Alpha, Beta, Information Ratio, Sortino ratio and up/down market capture are key metrics used to provide a more accurate picture of a manager’s true performance. These statistics are available. Seldom are they requested.

A prudent board will be more thorough in their analysis by incorporating the use of risk-adjusted returns to determine the efficacy of their manag-

er. But often the expertise does not exist on the board to ask for and then to evaluate the risk-adjusted return statistics to gain an understanding of manager “skill”. In those circumstance we may see the Investment Policy Statement reflecting a requirement to have an independent external study done periodically. What follows is a case study of a recent client request for a peer group analysis....

The importance of peer group analysis

The in *Figure 1* above example is of a company exploring exposure to high yield debt. The asset class merely provides a particularly illustrative example of the benefits of a peer group analysis. The process, is broadly applicable across any

asset class.

High yield debt instruments are generally bonds that are below “investment grade”, that is below BBB in their credit rating. Due to lower quality credit ratings, these securities offer higher yield or returns. Below we will illustrate a situation where a manager is performing acceptably versus his benchmark. But after completing a thorough risk-adjusted return and peer group analysis, we can see that there are much better options available.

ABC Company is considering Manager A for the High Yield portion of their portfolio (*Figure 1*).

Manager A returns

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positive alpha, has a batting average of .73 (shown in **Figure 1**), and outperforms his benchmark (BofA Merrill Lynch US High Yield Cash Pay Index) in both up and down markets. But these standalone statistics against only a benchmark do not tell us anything about how the manager is performing against his peer group. If everyone else is outperforming the benchmark by a greater margin, then this manager no longer looks as promising.

CapVisor has developed a proprietary scorecard methodology, which along with visual aids like **Figure 1**, help paint a picture of a manager's risk-adjusted performance along with his skill level as compared to his peer group. A peer group is constructed by evaluating a group of managers who have similar characteristics in benchmark, composite/fund size, product offering and manager style. Then, using a specific MPT statistics weighted algorithm, Manager A's performance against his peers is boiled down to a single numeric score

Figure 3
Data: provided by investment management firms directly to PSN Enterprise
Analysis: provided by CapVisor Associates

(Composite) which can be easily compared and quantified (**Figure 2**).

After viewing **Figure 2** it becomes extremely obvious that even though Manager A is performing well against his benchmark and is performing better than the average manager in his peer group, there is still considerable benefit to choosing a manager with a better score. CapVisor's findings are visually supported in **Figure 3**. We see that Manager 1, who has the highest composite score in **Figure 2**, performs significantly better than Manager A given a similar level of standard deviation. This finding would have gone undiscovered had the insurance company's board solely compared Manager A to his benchmark and ignored the many benefits of conducting a full peer group analysis.

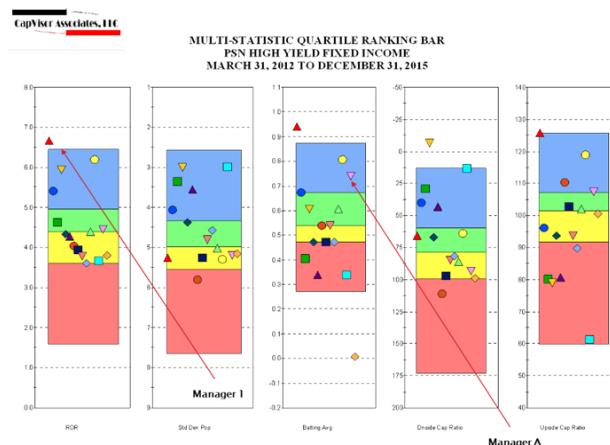
Manager	Return	Risk	Risk-Adjusted Return	Composite
1	87.35	55.80	77.20	72.70
2	65.10	48.80	73.40	60.24
3	41.70	48.10	74.80	50.88
4	61.00	50.10	91.00	62.64
5	43.35	48.70	43.00	45.42
6	30.75	49.50	52.00	42.50
7	41.70	50.00	9.40	38.56
8	34.50	45.30	16.40	35.20
9	32.30	45.80	17.80	34.80
10	21.10	46.50	13.60	29.76
11	54.05	46.00	41.60	48.34
12	75.00	60.80	64.40	67.20
13	18.75	48.00	47.80	36.26
Manager A	60.55	41.80	40.60	49.06
Average	47.66	48.94	47.36	48.11
St.Devi	20.26	4.65	26.38	13.26

Figure 2
CapVisor's Proprietary Manager Scorecard contains data that represents "scores" not actual return, risk or risk-adjusted return statistics

It is important to consider both the qualitative and quantitative traits of a given manager before making the decision to invest with him. The manager's style must match the goals and risk appetite of a portfolio. And the manager must be rigorously compared to a group of peers with similar characteristics. A standalone analysis

leads to information loss and incorrect conclusions being drawn.

Insurers should be sure to incorporate MPT statistics into their manager evaluation or selection process. These statistics provide valuable insights into the return volatility/stability, performance under various market conditions and overall "skill level", as measured by risk-adjusted returns that are attained by an investment manager(s). Managers have these various MPT statistics available for the asking and the additional data points are critical to making better informed decisions. The key is to compare these MPT statistics across a group of managers rather than solely focusing on one.



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www.capvisorassociates.com



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opportunity moving forward remains in the corporate sector for higher yield and spread tightening.

Our bottom-up investment process and extensive research focus helps us identify relative value opportunities in the marketplace, giving us confidence in the risk-reward trade-offs in our portfolios. While market fluctuations can cause short-term underperformance, our long-only style of investing has delivered positive results with reduced volatility over the long term.



CapVisor will be exhibiting at the NYIA Conference at the Turning Stone Resort in Verona, NY June 1-3. Please stop by to say hello!

Look for CapVisor in attendance at the TCIA Summer Spotlight June 7-8 at the Embassy

Suites Nashville!

The late spring conference schedule winds down with Carl Terzer attending and speaking at the Bermuda Captive Conference at the Fairmont Southampton Resort June 13-15.

In a preview to our summer schedule:

Carl Terzer and Associates of

CapVisor will be exhibiting at Booth 49 for the VCIA Annual Conference August 9-11 at the Sheraton Hotel & Conference Center in Burlington VT.



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